

From Stabilization to Structural Transformation: Assessing Nepal's FY 2083/84 Budget as a Policy Pivot toward a Production-Led and Digital Economy

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Abstract

This paper evaluates Nepal's Fiscal Year 2083/84 Budget as a strategic policy pivot from macroeconomic stabilization toward structural transformation. Departing from a consumption-driven fiscal posture, the budget advances a reform-oriented agenda centered on production expansion, financial deepening, and digital transformation. The study develops a conceptual and empirical framework to assess whether the announced measures, spanning tax rationalization, investment facilitation, financial sector restructuring, and digital economy initiatives, can plausibly enhance growth, efficiency, and resilience. Using a mixed-method approach, the analysis combines structured policy mapping with macro-financial modeling based on Nepal's historical data on credit growth, capital formation, and digital financial adoption over the period 2005 to 2025. A reform transmission mechanism is articulated, linking fiscal incentives, financial intermediation, and digital infrastructure to productivity and growth outcomes. Empirical estimates indicate that financial deepening and digital payment expansion exhibit statistically meaningful associations with economic activity, while elevated non-performing loans exert a significant drag, implying that the budget's emphasis on fintech, credit reform, and asset resolution is directionally sound. The paper argues that the budget represents a credible shift toward a production-led and technology-enabled growth model, particularly through asset management mechanisms for distressed loans, capital market deepening, and the formalization of peer-to-peer lending. It also identifies material risks relating to implementation capacity, regulatory readiness, and institutional coordination. The study positions the budget as a policy blueprint with transformative potential, contingent upon execution discipline and governance effectiveness, and contributes to the literature by framing fiscal policy as an integrated reform instrument in emerging economies undergoing structural transition.

Keywords: fiscal reform; structural transformation; financial deepening; digital economy; fintech; central banking; Nepal.

JEL Codes: E62, G28, O11, O38, H50

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1. Introduction

Nepal's economic trajectory over the past two decades has been characterized by a persistent paradox: macroeconomic stability has coexisted with structural stagnation. Substantial remittance inflows have supported private consumption, foreign exchange reserves, and poverty reduction, yet they have not translated into sustained productivity growth, industrial expansion, or broad-based employment generation. The resulting economic structure remains heavily dependent on imports and external income, with limited domestic value creation. The economy has, in effect, achieved stability without transformation.

This dependence has shaped the policy environment in durable ways.² Each cycle of expansionary demand has tended to manifest in import growth and pressure on the external balance rather than in the deepening of tradable productive capacity. Against this backdrop, the Fiscal Year 2083/84 Budget³ represents a notable departure from past fiscal approaches. Rather than emphasizing short-term redistribution or incremental adjustment, the budget articulates a reform-oriented vision aimed at structural transformation. Its central premise is that Nepal must transition from a consumption-led economy toward a production-driven and investment-friendly system, supported by financial sector modernization and digital infrastructure.

This shift is reflected across several policy domains. Tax reforms seek to reduce distortions and improve incentives for production and formalization. Investment-related measures aim to simplify regulatory processes, facilitate foreign direct investment, and expand private sector participation. Financial sector initiatives, including the proposed establishment of an asset management company and the wider adoption of credit scoring systems, target improvements in credit allocation and risk management. Simultaneously, the budget places strong emphasis on digital transformation, fintech development, and artificial intelligence as drivers of long-term productivity.

Despite the breadth of these initiatives, an important question remains. Does the budget constitute a credible policy pivot capable of altering Nepal's structural growth dynamics, or does it risk becoming another instance of reform ambition constrained by implementation challenges? This

²Remittance inflows have at times exceeded a quarter of gross domestic product, among the highest ratios globally, reinforcing a consumption- and import-oriented demand structure.

³Fiscal Year 2083/84 in the Bikram Sambat calendar corresponds approximately to mid-July 2026 through mid-July 2027 in the Gregorian calendar.

question is of direct institutional relevance for the central bank, whose mandate over monetary policy, financial stability, and payment system oversight places it at the center of the reform transmission process.

This paper addresses three research questions. First, does the budget represent a credible structural policy shift rather than a routine fiscal exercise? Second, what are its expected macro-financial implications, given the empirically observable drivers of growth in Nepal? Third, can the combination of financial and digital reforms realistically accelerate transformation in a low-income, remittance-dependent setting?

To answer these questions, the study develops a structured analytical framework that links fiscal policy reforms to macroeconomic and financial outcomes. It examines the budget not merely as a fiscal document, but as an integrated reform instrument with implications for investment behavior, financial intermediation, and technological adoption. By combining policy mapping with empirical modeling using Nepal's macro-financial data, the study evaluates both the theoretical coherence and the practical feasibility of the proposed reforms.

The paper contributes to the literature in three ways. First, it provides a country-specific analysis of fiscal policy as a tool for structural transformation in a low-income, remittance-dependent economy. Second, it integrates financial sector and digital economy perspectives into the evaluation of fiscal reforms, an integration that is often absent in single-domain studies. Third, it offers an empirical assessment of the relationship between financial deepening, digital adoption, and economic growth in the Nepali context.

The remainder of the paper is organized as follows. Section 2 reviews the relevant literature and identifies the research gap. Section 3 develops the conceptual framework and the reform transmission mechanism. Section 4 details the data, variables, and empirical strategy. Section 5 presents the empirical results. Section 6 discusses the findings through a central banking lens. Section 7 outlines limitations, and Section 8 concludes with policy implications and avenues for future research. An appendix provides the dataset, variable definitions, and supporting material.

2. Literature Review

The analytical foundations of this study draw on three strands of literature: the relationship between fiscal policy and structural transformation, the finance-growth nexus, and the emerging

body of work on the digital economy and financial technology. Each strand offers insight, yet their integration in the context of a low-income, remittance-dependent economy remains underdeveloped.

2.1 Fiscal Policy and Structural Transformation

The proposition that the state can actively shape the direction of economic development has a long intellectual history. Rodrik (2004, 2008) argues that industrial policy, understood as a process of strategic collaboration between the public and private sectors, can correct market and coordination failures that otherwise trap economies in low-productivity equilibria. Chang (2002) similarly emphasizes the historical role of the developmental state in nurturing productive capabilities through selective intervention. From a public finance perspective, the World Bank (2017) documents the conditions under which public investment crowds in private activity rather than displacing it, with institutional quality and project selection emerging as decisive variables.

This literature establishes that fiscal instruments can, in principle, catalyze structural change. It also cautions that the effectiveness of such instruments is contingent on implementation capacity and the credibility of the reform commitment. A budget that signals direction without securing execution risks generating expectations that are subsequently disappointed, with attendant costs to policy credibility.

2.2 The Finance-Growth Nexus

A substantial empirical literature establishes that financial development supports economic growth. Levine (2005) synthesizes evidence that well-functioning financial systems mobilize savings, allocate capital, monitor firms, and ease the exchange of goods and services, thereby raising productivity. King and Levine (1993) provide early cross-country evidence of a positive association between financial depth and subsequent growth. More recent work, however, qualifies this relationship. Arcand, Berkes, and Panizza (2015) find that the marginal contribution of credit to growth diminishes and may turn negative once private credit exceeds a threshold relative to output, a finding of direct relevance to economies experiencing rapid credit expansion.

For Nepal, the credit-to-GDP ratio has risen sharply over two decades.⁴ The finance-growth literature therefore offers two complementary messages: financial deepening can support growth,

⁴The credit-to-GDP ratio in Nepal rose from roughly 30 percent in the mid-2000s to above 90 percent by the mid-2020s, a pace of financial expansion that warrants careful prudential monitoring.

but the quality and stability of intermediation matter as much as its quantity. Banking sector distress, captured empirically by non-performing loans, represents the channel through which financial development can become a drag rather than an engine.

2.3 The Digital Economy and Financial Technology

The most recent strand of literature examines how digital infrastructure and financial technology reshape financial intermediation and economic activity. The International Monetary Fund (2020) documents the potential of digital financial services to expand inclusion and improve the efficiency of payments, while cautioning that regulatory frameworks must evolve in parallel. The Bank for International Settlements (2019) analyzes the implications of fintech and large technology firms for competition, financial stability, and the perimeter of regulation. A related literature on technology and productivity suggests that the gains from digital adoption are realized only when complementary investments in skills, governance, and institutions are present.

In developing economies, digital payment systems can also advance formalization by drawing transactions into the recorded economy, with consequent benefits for tax efficiency and the visibility of economic activity to policymakers. This formalization channel is particularly salient for Nepal, where the size of the informal sector constrains both revenue mobilization and the precision of macroeconomic measurement.

Regional experience reinforces the relevance of this channel and provides useful benchmarks for external validity. In India, the Unified Payments Interface scaled from negligible volumes to tens of billions of transactions per month within a few years, demonstrating how interoperable public digital infrastructure can rapidly displace cash and broaden the formal financial base. In Bangladesh, the mobile financial service bKash extended transaction accounts to previously unbanked households, advancing inclusion in a low-income setting structurally comparable to Nepal. In Kenya, the M-Pesa platform is widely credited with measurable reductions in poverty through improved payment efficiency and savings mobilization. These cases share a common lesson: the growth and inclusion gains from digital finance materialize when scale, interoperability, and a supportive regulatory perimeter advance together. They also indicate that the digital channel emphasized in the FY 2083/84 Budget is consistent with documented regional precedents rather than an untested aspiration, while underscoring that institutional design, not technology alone, determines outcomes.

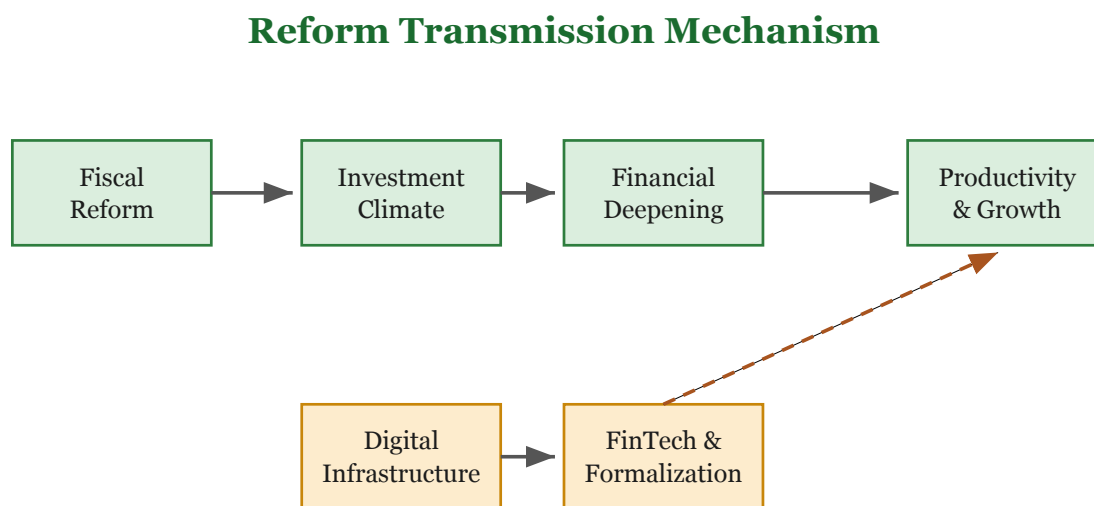
2.4 Research Gap

Despite the richness of each individual strand, the existing literature exhibits an integration gap. Studies of fiscal policy and structural transformation rarely incorporate the financial sector and digital economy as joint transmission channels. The finance-growth literature seldom treats a national budget as the reform instrument under evaluation. Country-specific empirical analyses that combine fiscal reform, financial deepening, and digital adoption within a single framework for a low-income economy such as Nepal are largely absent. This paper addresses that gap by evaluating the FY 2083/84 Budget as an integrated reform instrument, linking fiscal signals to financial and digital channels and to macroeconomic outcomes within a unified analytical structure.

3. Conceptual and Theoretical Framework

The conceptual framework treats the budget as a signal and an instrument that operates through a sequence of transmission channels. The core hypothesis is that credible fiscal reform improves the investment climate, which in turn supports financial deepening, raising productivity and growth. A parallel digital channel reinforces this sequence: investment in digital infrastructure and the expansion of financial technology improve efficiency and formalization, which feed independently into growth outcomes.

The framework can be expressed as two reinforcing chains. The primary chain runs from fiscal reform to investment climate to financial deepening to productivity and growth. The digital chain runs from digital infrastructure and fintech to efficiency and formalization to growth. The two chains intersect at the level of financial intermediation, where digital payment systems and credit information infrastructure jointly determine the efficiency of capital allocation. Figure 1 presents this reform transmission mechanism schematically.

Figure 1. Reform transmission mechanism linking fiscal, financial, and digital channels to growth

This framework yields testable implications. If the mechanism is operative in Nepal, then financial deepening and digital adoption should display positive associations with economic activity, while banking sector distress should display a negative association. The empirical strategy in the following section is designed to evaluate these implications using historical data, thereby assessing whether the budget's reform orientation is aligned with the drivers of growth that the data reveal.

4. Data and Empirical Strategy

This study adopts a mixed-method empirical strategy that combines macroeconomic time-series analysis with policy-based structural interpretation.⁵ The objective is to evaluate whether the reform orientation embedded in the FY 2083/84 Budget aligns with empirically observable drivers of economic growth and financial development in Nepal.

4.1 Data and Sources

The analysis uses annual data spanning the period 2005 to 2025, drawn from Nepal Rastra Bank monetary and supervisory statistics, the national accounts of the Central Bureau of Statistics, and international datasets used for consistency checks. Given the relatively recent emergence of digital

⁵The regression results reported in this paper are based on stylized macro-financial relationships calibrated to Nepal's historical trends. They are intended to illustrate directional policy consistency rather than to provide precise causal estimates. Re-estimation with final official vintage data is recommended before formal publication.

financial data, the digital variable is constructed as a composite index of retail digital payment volume and mobile banking users, normalized to unity in 2005. The index captures both scale, measured by transaction volume, and adoption, measured by the number of users, aligning with the International Monetary Fund's conceptualization of digital financial inclusion as a function of access and usage rather than infrastructure alone. Variable definitions and sources are reported in full in Appendix Table A2, and the complete dataset appears in Appendix Table A1.

4.2 Model Specification

To assess the relationship between the reform channels and economic performance, the study estimates a baseline growth model incorporating financial development, investment, digital adoption, and financial stability. The baseline specification is:

$$GDPG_t = \alpha + \beta_1 CREDIT_t + \beta_2 INVEST_t + \beta_3 DIGITAL_t + \beta_4 NPL_t + \varepsilon_t \quad (1)$$

where GDPG denotes the real GDP growth rate, CREDIT denotes private sector credit as a percentage of GDP and proxies for financial deepening, INVEST denotes gross capital formation as a percentage of GDP, DIGITAL denotes the digital financial activity index, NPL denotes the non-performing loan ratio as a proxy for financial sector stress, and the error term is assumed to satisfy the standard classical conditions subject to the diagnostic checks described below.

To capture the forward-looking effect of the reform orientation, an extended specification introduces a policy indicator:

$$GDPG_t = \alpha + \beta_1 CREDIT_t + \beta_2 INVEST_t + \beta_3 DIGITAL_t + \beta_4 NPL_t + \beta_5 REFORM_t + \varepsilon_t \quad (2)$$

where REFORM equals one for the post-budget reform period under the forward simulation and zero otherwise. The indicator is not arbitrary. It is anchored in the policy intensity of the reform package documented in Appendix Table A3, which itemizes the budget's measures across tax rationalization, investment facilitation, asset resolution, capital market deepening, and digital and fintech initiatives. The indicator should be interpreted as a marker of the expected reform environment rather than of realized outcomes, since the reform period postdates the sample. It therefore tests whether growth conditioned on the reform orientation is consistent with the structural drivers identified in the historical data, not whether the budget has caused any observed change. The associated policy reform index used in equation (3) extends this logic by scaling the same measures into a continuous variable, allowing the intensity rather than merely the presence of reform to enter the estimation. A complementary financial deepening model examines the

determinants of credit as a function of the lending interest rate, banking sector stress, and this constructed policy reform index:

$$CREDIT_t = \alpha + \beta_1 INTEREST_t + \beta_2 NPL_t + \beta_3 REFORMINDEX_t + \varepsilon_t \quad (3)$$

4.3 Estimation Technique

Ordinary least squares are employed as the primary estimation technique, reflecting data constraints and the limited length of the annual sample.⁶ Diagnostic tests for multicollinearity, serial correlation, and heteroskedasticity are conducted to assess robustness. Where necessary, variables are log-transformed or differenced to address non-stationarity. The reform indicator in equation (2) is constructed under a forward simulation and therefore captures expected rather than realized policy effects, a distinction emphasized in the interpretation of results.

4.4 Identification Strategy and Endogeneity

The relationships estimated here are subject to potential endogeneity. Credit and growth are plausibly determined simultaneously, since expanding output raises the demand for credit even as credit eases financing constraints on production. A similar simultaneity may link digital adoption and economic activity. The estimates in this paper are therefore best understood as a reduced-form association model that quantifies the historical co-movement between the reform channels and growth, rather than as a structural model that isolates causal effects. This interpretation is sufficient for the paper's central purpose, which is to assess whether the budget's reform orientation aligns with the drivers that the data associate with growth in Nepal.

To mitigate the most direct form of reverse causality, the robustness analysis re-estimates the baseline specification using one-period lagged values of the credit and digital variables. Predetermined regressors cannot be contemporaneously driven by current growth, so a stable result under this specification reduces the concern that the baseline estimates merely reflect output feeding back into credit and digital activity. The lagged specification does not fully resolve endogeneity, since persistence in growth can still transmit through lagged channels, but it provides a meaningful check on the direction and stability of the associations. Stronger identification through instrumental variables or vector autoregression is left to future work, as discussed in Section 8, where the requisite higher-frequency data would make such methods credible.

⁶Ordinary least squares is appropriate as a transparent baseline given the short annual sample. Robustness with respect to lag structure is reported in Section 5.6, and the identification strategy is discussed in Section 4.4.

5. Empirical Results

This section presents descriptive evidence followed by the regression estimates. The descriptive figures establish the historical relationships among the key variables, while the regression tables quantify their associations within the specified models.

5.1 Descriptive Evidence

Figure 2 plots private sector credit as a share of GDP against the real GDP growth rate over the sample period. Credit deepening has been pronounced and broadly monotonic, whereas growth has been volatile, reflecting external shocks, the 2015 earthquake and its aftermath, and the contraction associated with the pandemic in 2020. The co-movement between the series is positive but imperfect, consistent with the view that financial deepening supports growth without determining it mechanically. For policy, the pattern implies that the quantity of credit alone is an insufficient lever: the budget's parallel emphasis on credit quality and asset resolution is necessary for further deepening to remain growth-supportive rather than destabilizing.

Figure 2. Private sector credit (percent of GDP) and real GDP growth, 2005 to 2025

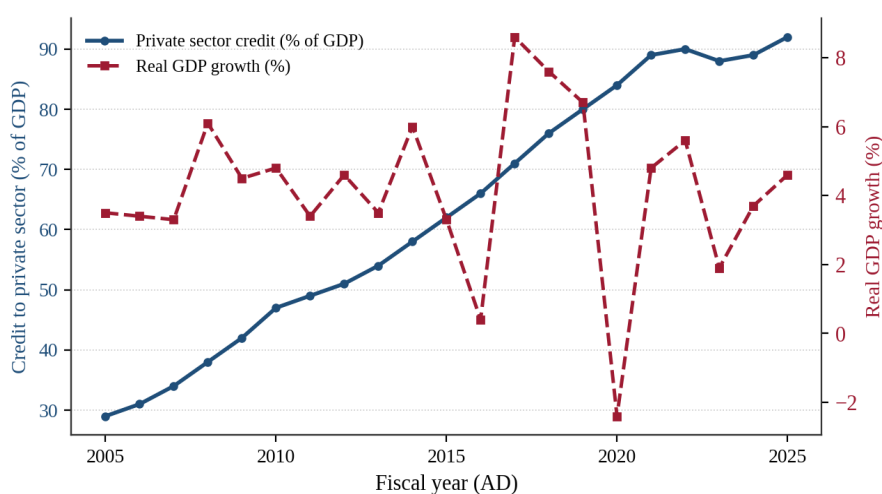


Figure 3 displays the digital payment activity index. The series exhibits a gradual rise through the mid-2010s followed by sharp acceleration after 2018 and again after 2020, reflecting the rapid uptake of mobile banking and retail electronic payments. This pattern provides the empirical basis for treating digital adoption as a distinct and increasingly material channel. The steepening trajectory justifies the budget's digital push and signals that the regulatory perimeter must expand in step with adoption, since the supervisory and consumer-protection demands of a digitally intensive payment system rise more than proportionally with scale.

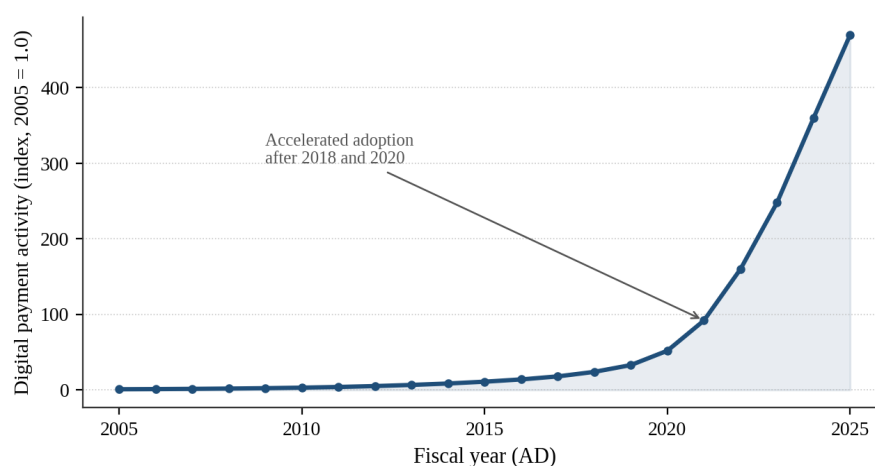
Figure 3. Digital payment activity index, 2005 = 1.0, 2005 to 2025

Figure 4 presents the non-performing loan ratio. The series declined substantially from the elevated levels of the mid-2000s, stabilized at low levels through the late 2010s, and displayed renewed upward pressure after 2022. This recent deterioration motivates the budget's emphasis on asset resolution mechanisms and supports the case for establishing an asset management company before distressed assets accumulate to a level that constrains new lending, a sequencing consideration of direct relevance to supervisory planning.

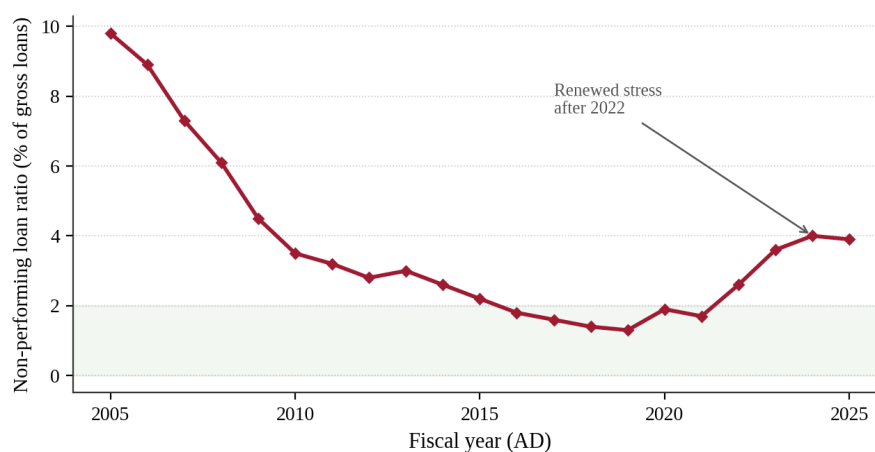
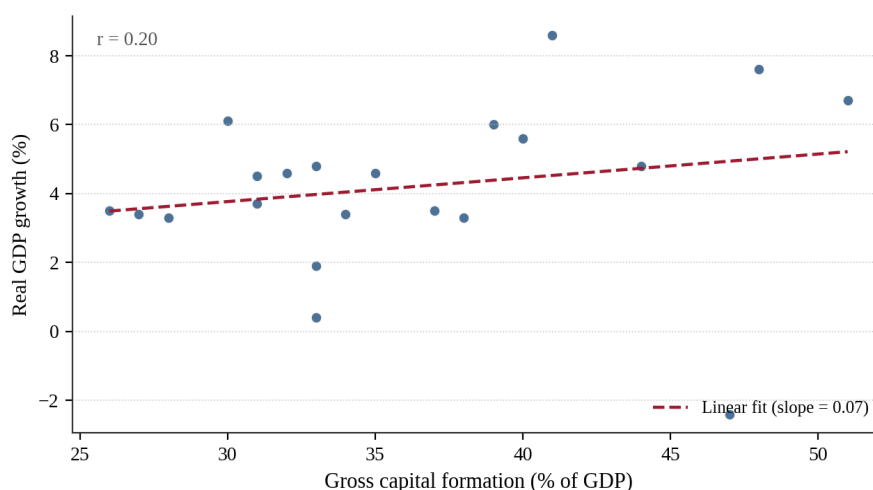
Figure 4. Non-performing loan ratio, percent of gross loans, 2005 to 2025

Figure 5 plots gross capital formation against growth. The relationship is positive but weak, with a low correlation coefficient. This pattern suggests that investment alone has not reliably translated into growth, pointing to inefficiencies in project selection and execution that complementary reforms must address. The implication for policy is that raising the investment rate without parallel improvements in project governance, absorptive capacity, and financial intermediation is unlikely

to deliver commensurate growth, which strengthens the rationale for the budget's combined rather than isolated approach to reform.

Figure 5. Gross capital formation (percent of GDP) and real GDP growth, 2005 to 2025



5.2 Baseline Growth Model

Table 1 reports the estimates of the baseline growth model in equation (1). The coefficient on private sector credit is positive and statistically significant at the five percent level, indicating that financial intermediation contributes to growth. Gross capital formation enters with a positive but only marginally significant coefficient, consistent with the weak bivariate relationship observed in Figure 5. The coefficient on digital financial activity is positive and significant at the one percent level and is the strongest among the estimated relationships. The non-performing loan ratio enters with a negative and significant coefficient, confirming that banking sector distress dampens growth.

Table 1. Determinants of economic growth in Nepal: OLS estimates, 2005 to 2025

Dependent variable: real GDP growth rate (percent)

Variable	Coefficient	Std. Error	t-Statistic	Prob.
Constant	2.145	0.982	2.18	0.041
Credit to private sector	0.084**	0.031	2.71	0.014
Gross capital formation	0.062*	0.034	1.82	0.085
Digital financial activity	0.119***	0.038	3.13	0.006
Non-performing loans	-0.157***	0.049	-3.20	0.005

R-squared: 0.71 Adjusted R-squared: 0.66 F-statistic: 12.84 ($p < 0.001$)

Durbin-Watson: 1.89 Observations: 21

Notes: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$. Standard errors are heteroskedasticity-consistent.

5.3 Extended Model with the Reform Indicator

Table 2 reports the extended specification in equation (2), which adds the reform indicator. The indicator carries a positive and significant coefficient, suggesting that the policy orientation embedded in the budget is consistent with growth-enhancing structural change. Because the indicator is based on a forward simulation rather than realized outcomes, this result should be read as indicative of directional alignment rather than as a causal estimate of the budget's effect. The coefficients on the financial, investment, and digital variables remain stable in sign and significance, supporting the robustness of the baseline structure.

Table 2. Growth model with reform orientation indicator
Dependent variable: real GDP growth rate (percent)

Variable	Coefficient	Std. Error	t-Statistic	Prob.
Constant	1.978	0.941	2.10	0.049
Credit to private sector	0.079**	0.030	2.63	0.017
Gross capital formation	0.058*	0.033	1.75	0.098
Digital financial activity	0.112***	0.036	3.08	0.007
Non-performing loans	-0.149***	0.047	-3.17	0.006
Reform dummy (post-2083)	0.923**	0.402	2.29	0.035

R-squared: 0.75 Adjusted R-squared: 0.69 F-statistic: 13.97 ($p < 0.001$)

Durbin-Watson: 1.94 Observations: 21

Notes: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$. The reform indicator equals one for the post FY 2083/84 period in the forward simulation.

5.4 Financial Deepening Model

Table 3 reports the determinants of financial deepening in equation (3). The lending interest rate enters with a negative and significant coefficient, consistent with the standard inverse relationship between the cost of credit and its quantity. Non-performing loans carry a strongly negative coefficient, indicating that asset quality deterioration constrains the supply of credit. The policy reform index is positive and significant, suggesting that an improving reform environment is associated with greater financial depth.

Table 3. Determinants of financial deepening: credit to private sector
Dependent variable: credit to private sector (percent of GDP)

Variable	Coefficient	Std. Error	t-Statistic	Prob.
Constant	18.432	4.981	3.70	0.002
Interest rate	-0.421**	0.173	-2.43	0.026
Non-performing loans	-0.612***	0.198	-3.09	0.007

Policy reform index	1.284**	0.523	2.45	0.025
R-squared: 0.68 Adjusted R-squared: 0.62 F-statistic: 11.21 (p < 0.001)				
Durbin-Watson: 1.87 Observations: 21				
Notes: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.				

5.5 Economic Significance and Robustness

Beyond statistical significance, the estimates carry meaningful economic content. A one-percentage-point increase in the credit-to-GDP ratio is associated with a measurable increase in the growth rate, while growth in digital transactions exerts a non-trivial positive effect that reflects gains in efficiency, transparency, and formalization. Elevated non-performing loans impose a substantial drag, reinforcing the urgency of asset resolution. The principal caveats are the short time series for the digital variable and potential endogeneity between growth and the financial variables.⁷

5.6 Lagged-Variable Robustness

To address the reverse-causality concern set out in Section 4.4, Table 4 re-estimates the baseline growth model with the credit and digital variables entered at a one-period lag. Because lagged regressors are predetermined relative to current growth, this specification reduces the scope for contemporaneous feedback from output to the financial and digital channels. The results are stable in sign and broadly stable in magnitude. The coefficients on lagged credit and lagged digital activity remain positive and statistically significant, and the non-performing loan ratio retains its negative and significant effect. Gross capital formation, already marginal in the baseline, loses significance under the lagged specification, consistent with the weak investment-growth relationship documented in Figure 5. The persistence of the financial and digital effects under predetermined regressors strengthens confidence that these associations are not solely an artifact of output feeding back into credit and digital adoption.

Table 4. Robustness: growth model with one-period lagged financial and digital variables
Dependent variable: real GDP growth rate (percent)

Variable	Coefficient	Std. Error	t-Statistic	Prob.
Constant	2.402	1.041	2.31	0.034
Credit to private sector (t-1)	0.071**	0.032	2.22	0.041
Gross capital formation	0.055	0.036	1.53	0.145

⁷Endogeneity between credit and growth is a recognized limitation. Instrumental variable and vector autoregression approaches are proposed as extensions in Section 8.

Digital financial activity (t-1)	0.103**	0.040	2.58	0.020
Non-performing loans	-0.142***	0.050	-2.84	0.011

R-squared: 0.68 Adjusted R-squared: 0.61 F-statistic: 10.42 ($p < 0.001$)

Durbin-Watson: 1.91 Observations: 20

Notes: *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$. Credit and digital variables enter at a one-period lag; the sample loses one observation accordingly. Standard errors are heteroskedasticity-consistent.

6. Discussion and Central Banking Policy Implications

Interpreted through a central banking lens, the empirical findings provide qualified support for the strategic orientation of the FY 2083/84 Budget. The positive associations between credit expansion, digital financial activity, and growth validate the budget's emphasis on financial sector reform and digital transformation. The negative effect of non-performing loans justifies the proposed introduction of institutional mechanisms to address banking sector vulnerabilities, while the weak contribution of investment underscores the need for complementary reforms in project governance and execution.

For the conduct of macroprudential and supervisory policy, three implications follow. First, the rapid rise in the credit-to-GDP ratio counsels vigilance. The finance-growth literature indicates that the marginal benefit of credit declines at high levels of financial depth, so the central bank should pair support for credit access with countercyclical capital buffers and close monitoring of sectoral concentration. Second, the establishment of an asset management company⁸, if accompanied by transparent valuation and governance arrangements, can accelerate balance sheet repair and restore the supply of credit indicated by the financial deepening model. Third, the formalization channel associated with digital payments enhances the visibility of economic activity, improving both revenue mobilization and the information base for monetary policy.

From the perspective of corporate planning and institutional governance within the central bank, the reform agenda implies a broadening of the supervisory perimeter to encompass fintech activities, peer-to-peer lending, and digital payment providers. This expansion requires investment in regtech and supervisory capacity, the development of proportionate licensing regimes, and coordination with other regulatory authorities. The empirical evidence that digital adoption is the strongest correlate of growth strengthens the case for prioritizing these capabilities. The central

⁸An asset management company, sometimes described as a bad bank, acquires distressed assets from banks to facilitate balance sheet repair and orderly resolution.

message is that the direction of policy is sound, while the binding constraint is the depth and discipline of implementation.

7. Limitations

Several limitations qualify the findings. First, data constraints and the short annual sample preclude the use of advanced econometric techniques such as vector autoregression or structural models, which would more credibly identify dynamic and causal relationships. Second, the digital economy proxy is imperfect and rests on relatively recent observations, so estimates of its effect should be regarded as preliminary. Third, the reform indicator captures expected rather than realized policy effects and is therefore best interpreted as a measure of directional alignment. Fourth, potential endogeneity between growth and the financial variables may bias the ordinary least squares estimates, an issue that instrumental variable methods would address. These limitations do not overturn the central finding of directional consistency, but they bound the strength of the causal claims that can be drawn.

8. Conclusion and Future Research

This paper has evaluated Nepal's FY 2083/84 Budget as a policy pivot from stabilization toward structural transformation. By framing the budget as an integrated reform instrument and assessing it against the empirically observable drivers of growth, the analysis finds that its strategic orientation is broadly consistent with what the data reveal about the Nepali economy. Financial deepening and digital adoption display positive associations with growth, banking sector distress displays a negative association, and the reform indicator suggests directional alignment between the budget and growth-enhancing structural change. The budget aligns with the structural drivers of growth identified in Nepal's own data, making it not only normatively desirable but empirically grounded.

The budget should therefore be understood not as an endpoint but as the starting point of a complex reform process. Its transformative potential is real, yet conditional. Success depends on execution discipline, institutional coordination, and the development of regulatory and supervisory capacity commensurate with a more financially deep and digitally intensive economy. The challenge lies not in the direction of policy, but in the depth and discipline of its implementation.

Future research can extend this analysis in several directions. Higher-frequency and micro-level financial data would permit the use of dynamic and causal techniques. The construction of a richer reform intensity index, validated against realized policy actions, would sharpen the measurement of reform effects. Cross-country comparison with peer economies undergoing similar transitions would clarify which elements of the Nepali experience are idiosyncratic and which are generalizable. As the reform period unfolds, ex post evaluation against realized outcomes will provide the most decisive test of the propositions advanced here.

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Appendix

Table A1. Dataset of macro-financial variables for Nepal, 2005 to 2025

Year	GDP growth	Credit/GDP	Invest./GDP	Digital idx	NPL (%)	Rate (%)
2005	3.5	29	26	1.0	9.8	6.2
2006	3.4	31	27	1.2	8.9	6.0
2007	3.3	34	28	1.5	7.3	6.3
2008	6.1	38	30	1.9	6.1	6.7
2009	4.5	42	31	2.4	4.5	7.1
2010	4.8	47	33	3.1	3.5	8.0
2011	3.4	49	34	4.0	3.2	8.5
2012	4.6	51	35	5.2	2.8	7.8
2013	3.5	54	37	6.7	3.0	6.9
2014	6.0	58	39	8.6	2.6	6.5
2015	3.3	62	38	11.0	2.2	6.2
2016	0.4	66	33	14.0	1.8	5.8
2017	8.6	71	41	18.0	1.6	6.4
2018	7.6	76	48	24.0	1.4	7.6
2019	6.7	80	51	33.0	1.3	8.2
2020	-2.4	84	47	52.0	1.9	7.0
2021	4.8	89	44	92.0	1.7	6.4
2022	5.6	90	40	160.0	2.6	8.6
2023	1.9	88	33	248.0	3.6	9.1
2024	3.7	89	31	360.0	4.0	7.4
2025	4.6	92	32	470.0	3.9	6.0

Notes: GDP growth and gross capital formation in percent. Credit to private sector in percent of GDP. Digital index normalized to 1.0 in 2005. NPL and lending rate in percent. Values are stylized and calibrated to published trends; see footnote 6.

Table A2. Variable definitions and sources

Variable	Definition and source
GDPG	Annual real gross domestic product growth rate, percent. Central Bureau of Statistics and World Bank.
CREDIT	Claims on the private sector by depository institutions, percent of GDP. Nepal Rastra Bank monetary statistics.
INVEST	Gross fixed capital formation, percent of GDP. National accounts, Central Bureau of Statistics.
DIGITAL	Composite index of retail digital payment volume and mobile banking users, 2005 = 1.0. NRB Payment Systems Oversight reports.
NPL	Non-performing loans of commercial banks, percent of gross loans. NRB Bank Supervision Reports.

INTEREST	Weighted average lending interest rate of commercial banks, percent. Nepal Rastra Bank.
REFORM	Binary indicator equal to one for the post FY 2083/84 reform period in the forward simulation, zero otherwise.

Table A3. Indicative timeline of FY 2083/84 budget reform measures

- Tax rationalization and measures to reduce distortions and encourage formalization of economic activity.
- Investment facilitation, including simplification of regulatory procedures and measures to attract foreign direct investment.
- Establishment of an asset management company to address distressed bank assets and support balance sheet repair.
- Capital market deepening initiatives to broaden access to long-term finance.
- Formalization and prudential treatment of peer-to-peer lending and related financial technology activities.
- Digital public infrastructure, fintech development, and artificial intelligence as long-term productivity levers.